

World in Brief: America signs a nuclear deal with Saudi Arabia; oil prices soar



Photograph: Getty Images

America and **Saudi Arabia** signed a deal to build a civilian **nuclear** programme in the Gulf state. The agreement, which Congress must review, would reportedly last 30 years and could allow American companies to build a uranium-enrichment facility in Saudi Arabia. It will raise concerns about further proliferation of nuclear weapons, despite safeguards intended to prevent it.

Oil prices surged after Houthi rebels struck two Saudi Arabian oil tankers in the Red Sea and Donald Trump threatened to “bomb and destroy” Iranian bridges and power plants. Brent crude, the international benchmark, rose above \$98 a barrel for the first time since June. The Houthis, Iranian-backed militants in Yemen, said this week they would enforce a “maritime embargo” against Saudi Arabia.

Alphabet, Google’s parent company, reported \$119.8bn in revenue in the second quarter, up around 24% year on year. Google Cloud revenue grew 82%, to \$24.8bn, driven by demand for AI infrastructure. But shares fell in pre-market trading. Investors were spooked by an announcement to increase the firm’s [capital expenditure](#) this year to \$195bn-\$205bn.

Tesla reported \$1.1bn in net profit in the second quarter, an 8% decline from the same period a year earlier. Revenues rose by 26%, to \$28.2bn. But the carmaker's free cash flow—the money it generated after capital investment—was negative for the first time in over two years. The firm expects to spend \$25bn this year, largely on [AI](#) and robotics.

Ukraine struck two warehouses belonging to Wildberries, Russia's biggest online retailer, in the Krasnodar and Stavropol regions. Volodymyr Zelensky, Ukraine's president, said he is “bringing the war back home” to Russia by [targeting](#) logistics hubs that supply drones and gear to its military. Meanwhile, Russia said it launched attacks on Ukraine's port infrastructure and ships to disrupt the country's maritime logistics.

Brazil announced a relief package worth \$3.7bn for companies hit by a new round of American **tariffs**. The Trump administration has imposed a 25% levy on a range of imports after concluding a [year-long probe](#) into what it called Brazil's “unreasonable” practices. The tariffs may tip voter sentiment in favour of Brazil's president, Luiz Inácio Lula da Silva, in upcoming elections.

The **European Commission** approved **Paramount's** \$111bn bid [to buy Warner Bros Discovery](#), subject to certain conditions. Paramount has offered concessions to ease regulators' concerns about competition; these include terminating its stake in United International Pictures, which distributes films in Europe, within 13 months of the deal closing. But hurdles elsewhere remain: last week a dozen American states [sued to block the merger](#).

Figure of the day: 24,000 yuan (\$3,500), the value of daily subsidies offered to some Chinese fishing boats that loiter in disputed areas near Taiwan. [Read more](#) about China's shadowy maritime militia, which is worryingly active.

Zelensky's dilemma



Photograph: Getty Images

For days Volodymyr Zelensky has been trying to work out a solution to a problem that is largely of his own making. On July 15th the Ukrainian president ousted Mykhailo Fedorov, [the innovative 35-year-old defence minister](#), after he clashed with senior generals over strategy. The decision sparked some of the biggest protests of his presidency. In a scramble to appease the demonstrators, on July 21st Mr Zelensky [sacked Oleksandr Syrsky](#), Ukraine's top general, and invited Mr Fedorov back into the fold.

It is not clear what job Mr Zelensky has offered Mr Fedorov—or if he will accept it. The spat has damaged the trust between the two men. Mr Zelensky has replaced General Syrsky with [Mykhailo Drapaty](#), who shares Mr Fedorov's view Ukraine's armed forces should expand the role of drones and other high-tech weaponry. But even if Mr Fedorov returns, big disagreements over what Ukraine should prioritise—whizzy kit or artillery and armour—will probably remain.

The ECB is under pressure to hike rates again



Photograph: Getty Images

For Europe, things were briefly cheerier. Annual euro-zone inflation fell in June, from 3.2% in May to 2.8%. Businesses reported that input costs were rising less, and the truce between Iran and America offered hope that energy prices would stabilise. Then renewed fighting in the Middle East shattered the optimism. On Thursday the European Central Bank's top brass will announce their latest interest-rate decision.

The ECB is adamant that its last hike, in June, was necessary to contain the war's impact on inflation. Another may be needed soon. The price of natural gas in Europe has reached €62 (\$71) per megawatt-hour, around double the pre-war price. Meanwhile, the price of Brent crude, the international oil benchmark, is [well above](#) its February level and climbing again. The market does not expect the ECB to raise rates at this meeting, but it has priced in two more 0.25% steps by early next year. For Europe's economic-growth prospects, that spells bad news.

Anthropic and OpenAI under threat

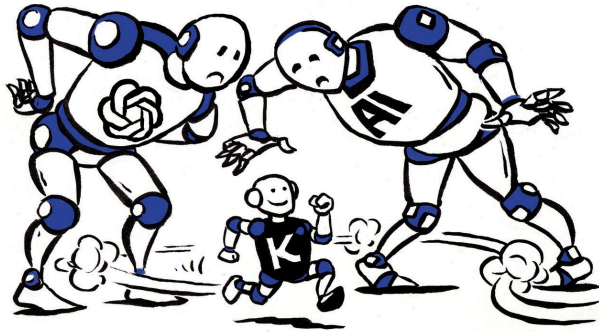


Illustration: David Simons

Chinese AI labs are nipping at the heels of American ones. Last Thursday Moonshot AI, a Chinese startup, released Kimi $\kappa 3$ —a model only slightly less capable than the latest from Anthropic and OpenAI. In the coming days Moonshot will complete a funding round valuing it at \$31.5bn, according to Bloomberg. It reportedly hopes to list in Hong Kong at a valuation of \$50bn.

That would make it a tiddler compared with American rivals, but its commercial threat does not come from its size. Kimi $\kappa 3$, like [many Chinese models](#), is “open weight”: its parameters are available free of charge and can run on any capable server. On Wednesday, Michael Kratsios, the White House’s head of science policy, alleged that Moonshot had developed $\kappa 3$ by covertly imitating Anthropic’s Fable model. American AI giants had already been pushing for restrictions on the use of Chinese open-weight models. Expect the campaign now to step up a gear.

SpaceX's next big test



Photograph: AP

SpaceX hopes to pull off the 13th test launch of its gigantic, troublesome Starship rocket on Thursday. It aborted an attempt last week. The reusable rocket, the largest thing ever flown, is vital for SpaceX to achieve its goals of driving down the cost of sending stuff (including the company's own satellites) into orbit and one day taking humans to Mars. NASA is waiting for a modified Starship to ferry humans to the Moon.

It is the first big test of Elon Musk's rocket-and-AI conglomerate since its blockbuster initial public offering in June. After briefly [heading skyward](#), and making Mr Musk a trillionaire on paper, the share price has fallen back to Earth. Mr Musk, unsurprisingly, sounds unfazed. This week he gave his first extended interview since the listing to *The Economist's* editor-in-chief. (We will publish [the interview](#) on Thursday.) He insists that AI and robotics will create an era of "amazing abundance" within a decade and make money irrelevant. That is easy for him to say.

Who cares about the Commonwealth Games?



Photograph: Getty Images

The Commonwealth Games—a quadrennial multisport event open to athletes from former constituents of the British empire—almost got stuck in the blocks. Adelaide and Calgary withdrew bids to host the tournament this year, saying it would be too expensive. The Australian state of Victoria was announced as the host in 2022 but pulled out after projected costs ballooned.

Glasgow, which hosted the event 12 years ago, stepped in to run the slimmed-down games, which begin on Thursday. Badminton, cricket, diving, hockey, rugby and table tennis are among the events dropped. Recent tournaments have lacked star power, a trend that is likely to continue in 2026. The new world-record holder for running the mile, Josh Kerr of Scotland, will compete. But Australian sprinting sensation [Gout Gout](#) has snubbed the games in favour of the world under-20s championships, and the country's star swimmer, Kaylee McKeown, is unwell. The event once known as the British Empire Games is in danger of becoming another 20th-century relic.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: What is the common British term for a bed surrounded by bars and designed for a baby or small child?

Wednesday: Which Joe Orton play features the corrupt policeman Inspector Truscott?

*Until we are all free, we are none
of us free.*

Emma Lazarus